Chinese official slams foreign banks over losses tied to derivatives

Continued from first page

prices peaked at $140 a barrel, state-owned China Eastern Air Holding Co., China National Aviation Holding Co. and Cosco Group signed large contracts with foreign investment banks to buy call options and sell put options, Mr. Li said.

Soon after those contracts were signed, oil prices fell below the exercise prices of the options, which caused losses on both sides of the contracts, he said. As of the end of 2008, the three companies incurred net book losses of 19.9 billion yuan on a combined contract market value of 9.2 billion yuan, Mr. Li said.

"Some fraudulent practices by some international investment banks resulted in major losses," Mr. Li said. Chinese companies should bear some responsibility, but the losses "are also closely linked to hostile sales of certain fraudulent, complicatedly designed high-leveraged products by international investment banks."

Spokespeople for Goldman Sachs, Citigroup and Merrill Lynch declined to comment. A spokesman for Morgan Stanley couldn't immediately be reached.

Privately, some foreign investment bankers have expressed frustration at the commission's support for state firms that now owe them huge sums of money, and they fear the funds will never be repaid.

The commission, which supervises more than 100 of China's largest state-owned enterprises, said in September that it would support state-owned companies challenging foreign banks over energy-linked derivatives losses. It also said it reserved the right to file lawsuits itself.

However, Mr. Li said state-owned enterprises shouldn't "give up eating for fear of choking" and stop buying derivative contracts. Derivatives offer opportunities to hedge against potential risk, and Chinese companies will find it hard to compete with foreign rivals without them, he said.

Mr. Li urged state-owned enterprises to comply with regulations and make sure any investments in financial derivative products are to hedge risk rather than speculate. State-owned companies must ask their financial advisers to list all possible risks, he said.

—Victoria Ruan